

Co-Tech Development Corp. (8358.TWO)

Earnings Review: Pricing hike uptrend just started, accelerating from 2H26; Buy with new TP of NT\$940

8358.TWO 12m Price Target: **NT\$940.00** Price: **NT\$352.00** Upside: **167.0%**

Co-Tech's 2Q26 core business (operating income) was 5/7% lower than GSe/BBG consensus, mainly due to higher summer electricity rates despite seeing better product mix (HVLP3+ copper contribution at 15-20% vs. ~15% in 1Q26), which led to a 1.3ppt QoQ decrease in 2Q26 GPM, and came in 2.5/2.1ppt below GSe/BBG consensus. Co-Tech's OPEX slightly increased to NT\$83mn (vs. NT\$78mn in 1Q26). NI was 6/9% lower than GSe/BBG consensus mainly due to the lower than expected GM.

For 3Q26, we expect Co-Tech's revenue will increase by 15% QoQ, mainly driven by (1) price hike of 10-15% QoQ across all copper foil products (we saw price hike starting to accelerate from late June, and we expect to see more increases on a monthly basis going forward), (2) shipment growth in RG copper foil due to strong general server demand, and (3) higher HVLP3+ copper foil contribution due to continuous yield improvement (continue to go up from 50%+ in 2Q26). On GM, we expect the 3Q26 level to be 28.1% (0.7ppt QoQ increase), while the improved product mix is partially offset by higher summer electricity rates (the impact will persist from mid-May to mid-October).

Co-Tech also announced its July revenue at NT\$1,009mn (+5% MoM, +55% YoY), with monthly revenue reaching a historical high driven by the increasing contribution from both RG and HVLP3+ copper foil products. We expect the monthly revenue MoM growth to continue as the company continues to see orders tracking faster than shipments. For August, we expect revenue to rise by 7% MoM to NT\$1,080mn (66% YoY) and expect it to reach another record high mainly driven by the improving product mix and rising ASP.

BUY

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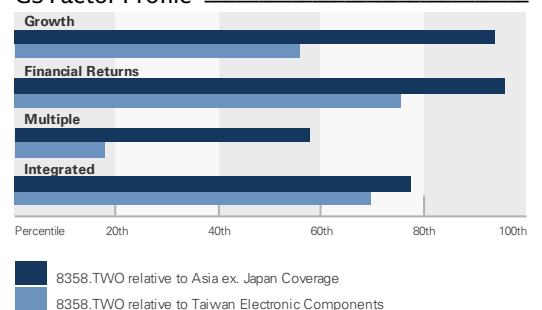
Key Data

Market cap: NT\$88.9bn / \$2.7bn
Enterprise value: NT\$88.4bn / \$2.7bn
3m ADTV: NT\$5.6bn / \$175.7mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT\$ mn) New	7,879.9	11,922.6	22,259.2	30,771.0
Revenue (NT\$ mn) Old	7,879.9	11,195.8	20,689.9	30,886.9
EBITDA (NT\$ mn)	1,537.7	3,242.3	8,441.3	13,101.7
EPS (NT\$) New	4.21	9.98	26.51	42.58
EPS (NT\$) Old	4.21	10.19	25.89	44.77
P/E (X)	30.2	35.3	13.3	8.3
P/B (X)	4.3	10.1	7.2	4.9
Dividend yield (%)	1.6	1.3	3.6	5.7
CROCI (%)	9.0	17.7	42.2	60.9
	6/26	9/26E	12/26E	3/27E
EPS (NT\$)	2.16	2.61	3.16	4.75

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

**Co-Tech Development Corp.
(8358.TWO)**

Rating since May 19, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	30.2	35.3	13.3	8.3
P/B (X)	4.3	10.1	7.2	4.9
FCF yield (%)	(0.4)	1.3	3.4	8.2
EV/EBITDAR (X)	21.0	27.2	10.3	6.3
EV/EBITDA (excl. leases) (X)	21.0	27.2	10.3	6.3
CROCI (%)	9.0	17.7	42.2	60.9
ROE (%)	15.1	30.8	63.2	70.9
Net debt/equity (%)	3.3	(4.9)	(18.0)	(35.2)
Net debt/equity (excl. leases) (%)	3.3	(4.9)	(18.0)	(35.2)
Interest cover (X)	53.1	141.0	373.4	581.9
Days inventory outst, sales	38.4	31.3	23.4	23.6
Receivable days	96.2	83.6	71.8	80.9
Days payable outstanding	16.6	16.3	16.7	18.2
DuPont ROE (%)	14.1	28.5	54.2	59.8
Turnover (X)	0.8	1.0	1.3	1.2
Leverage (X)	1.3	1.3	1.4	1.4
Gross cash invested (ex cash) (NT\$)	14,465.1	15,198.2	17,030.3	18,671.5
Average capital employed (NT\$)	6,866.3	8,078.6	9,258.8	10,881.3
BVPS (NT\$)	29.74	35.02	48.92	71.27

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	15.5	51.3	86.7	38.2
EBITDA growth	24.1	110.9	160.3	55.2
EPS growth	15.3	137.3	165.5	60.7
DPS growth	33.3	137.3	165.5	60.7
EBIT margin	18.4	26.4	37.4	42.2
EBITDA margin	19.5	27.2	37.9	42.6
Net income margin	13.5	21.1	30.0	34.9

Price Performance

8358.TWO (NT\$)

Taiwan SE Weighted Index



	3m	6m	12m
Absolute	(24.9)%	47.9%	208.8%
Rel. to the Taiwan SE Weighted Index	(28.8)%	6.3%	67.6%

Source: FactSet. Price as of 7 Aug 2026 close.

Income Statement (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	7,879.9	11,922.6	22,259.2	30,771.0
Cost of goods sold	(6,165.0)	(8,426.4)	(13,284.7)	(16,899.9)
SG&A	(205.4)	(238.5)	(442.3)	(557.4)
R&D	(62.2)	(110.7)	(200.3)	(330.7)
Other operating inc./exp.)	—	—	—	—
EBITDA	1,537.7	3,242.3	8,441.3	13,101.7
Depreciation & amortization	(90.4)	(95.3)	(109.5)	(118.6)
EBIT	1,447.4	3,147.0	8,331.9	12,983.0
Net interest inc./exp.)	(17.1)	(18.5)	(15.0)	(5.9)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	1,340.7	3,150.6	8,331.9	13,383.0
Provision for taxes	(278.2)	(632.4)	(1,646.0)	(2,641.8)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	1,062.5	2,518.2	6,685.9	10,741.2
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	1,062.5	2,518.2	6,685.9	10,741.2
EPS (basic, pre-exception) (NT\$)	4.21	9.98	26.51	42.58
EPS (diluted, pre-exception) (NT\$)	4.21	9.98	26.51	42.58
EPS (basic, post-exception) (NT\$)	4.21	9.98	26.51	42.58
EPS (diluted, post-exception) (NT\$)	4.21	9.98	26.51	42.58
DPS (NT\$)	2.00	4.75	12.60	20.24
Div. payout ratio (%)	47.5	47.5	47.5	47.5

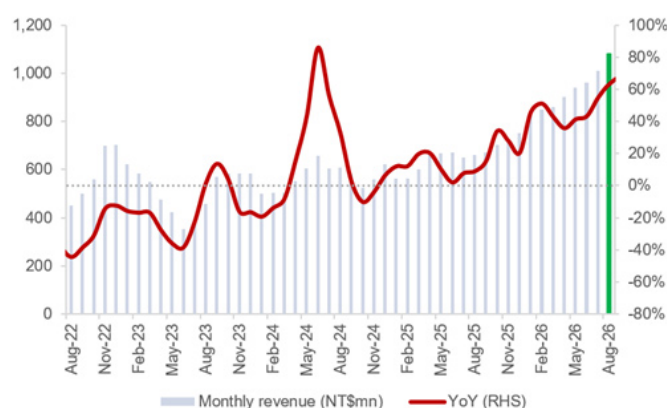
Balance Sheet (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	744.6	1,428.1	3,213.7	7,327.1
Accounts receivable	2,389.4	3,070.0	5,681.4	7,963.1
Inventory	941.1	1,105.6	1,748.3	2,237.2
Other current assets	77.9	77.9	77.9	77.9
Total current assets	4,153.0	5,681.5	10,721.3	17,605.3
Net PP&E	4,597.6	5,273.2	5,994.6	6,876.9
Net intangibles	5.0	4.1	3.2	2.3
Total investments	582.5	582.5	582.5	582.5
Other long-term assets	108.0	108.0	108.0	108.0
Total assets	9,446.1	11,649.3	17,409.7	25,175.0
Accounts payable	280.5	470.5	741.8	943.7
Short-term debt	993.4	993.4	993.4	993.4
Short-term lease liabilities	—	—	—	—
Other current liabilities	646.8	1,338.7	3,319.6	5,247.0
Total current liabilities	1,920.7	2,802.6	5,054.8	7,184.1
Long-term debt	—	—	—	—
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	14.5	14.5	14.5	14.5
Total long-term liabilities	14.5	14.5	14.5	14.5
Total liabilities	1,935.2	2,817.1	5,069.3	7,198.6
Preferred shares	—	—	—	—
Total common equity	7,510.9	8,832.2	12,340.4	17,976.4
Minority interest	—	—	—	—
Total liabilities & equity	9,446.1	11,649.3	17,409.7	25,175.0
Net debt, adjusted	248.7	(434.8)	(2,220.4)	(6,333.8)

Cash Flow (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,062.5	2,518.2	6,685.9	10,741.2
D&A add-back	90.4	95.3	109.5	118.6
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(838.3)	(655.0)	(2,982.9)	(2,568.7)
Other operating cash flow	47.9	—	0.0	0.0
Cash flow from operations	362.5	1,958.5	3,812.5	8,291.2
Capital expenditures	(499.7)	(770.0)	(830.0)	(1,000.0)
Acquisitions	—	—	—	—
Divestitures	2.0	—	—	—
Others	(294.6)	—	—	—
Cash flow from investing	(792.2)	(770.0)	(830.0)	(1,000.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(505.0)	(505.0)	(1,196.9)	(3,177.7)
Inc/(dec) in debt	(425.8)	—	—	—
Other financing cash flows	115.0	0.0	0.0	0.0
Cash flow from financing	(815.8)	(505.0)	(1,196.9)	(3,177.7)
Total cash flow	(1,245.6)	683.5	1,785.6	4,113.4
Free cash flow	(137.2)	1,188.5	2,982.5	7,291.2

Source: Company data, Goldman Sachs Research estimates.

Exhibit 1: We estimate Co-Tech's August revenue to increase by 66% YoY


Source: Company data, Goldman Sachs Global Investment Research

Investment view - Pricing hike uptrend just started, accelerating from 2H26; better product mix upon capacity expansion in 2027

We maintain our positive view on Co-Tech's revenue/profitability outlook, which is mainly driven by (1) better pricing environment amid high-end copper foil supply shortage, with a further price hike started in late June, and we expect it to accelerate in coming quarters/years, and (2) the company's high-end capacity will increase by 2.5x+ by 2027 end (vs. 2026 end), which would lead to market share gains throughout 2027 as other key competitors in total will only expand by 30%+ over the same time period.

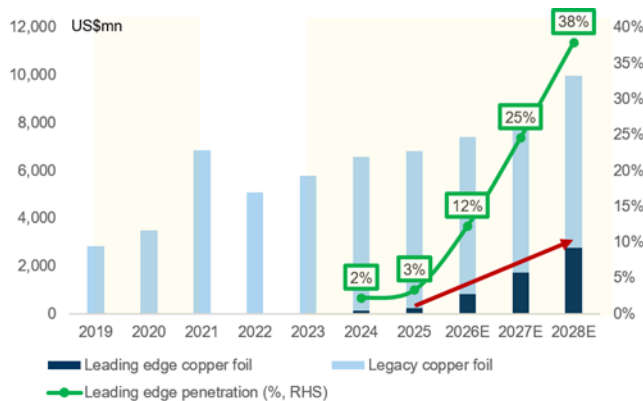
We revise up our high-end copper foil TAM to reach US\$2.7bn by 2028E ([Exhibit 2](#), with 133% 2025-28E CAGR, was 122% previously), following our latest update on global AI PCB/CCL TAM (see [here](#)), as we factor in our latest GPU/ASIC shipment assumptions. As discussed in our initiation report (see [here](#)), we now believe the shortage ratio for HVLP3+ industry to be 45-55% in 2026-28E ([Exhibit 5](#), previous estimate was 25-40% in 2026-28E), with the shortage already started in 2H26 as most mainstream AI server projects adopting HVLP4+ copper foil has started to ramp up. The widening shortage ratio would suggest an elevated industry UTR and a better pricing environment in coming quarters/years. We already saw a further price increase starting in late June, and with the company's proactive pricing strategy during the upcycle, we believe it will further hike its processing fee in 2H26, and we now expect the pricing hike ratio to be 10-15%/5-10% in 3Q/4Q26 (previous estimates were 3-5%+ each quarter in 2H26).

We expect the company to increase HVLP3+ capacity by 2.5x+ by 2027 end (comparing to 2026 end), which is tracking faster than other key competitors in total at 30%+ in 2027E, thus we expect Co-Tech's HVLP3+ market share to expand to 43/51% in 2027/28E (vs. 21% in 2026E). Furthermore, the company has shifted focus toward a higher-end mix by allocating a portion of its new 2027E capacity to high-end copper foil for HDI PCB (20-30% of the total capacity added in 2027E per GSe), with higher ASP and margin profile than existing HVLP3+ products. Based on this strategy shift, we now expect HVLP3+ yield to reach 61% by 2027 end, which is <3.0ppt lower than our previous estimates as we believe the slightly lower yield from copper foil for HDI PCB is manageable and will continue to improve when ramping up. The product mix shift towards more high-end will continue to support revenue growth and margin expansion in coming years.

We maintain Buy on Co-Tech, with a new TP of NT\$940 from NT\$900.

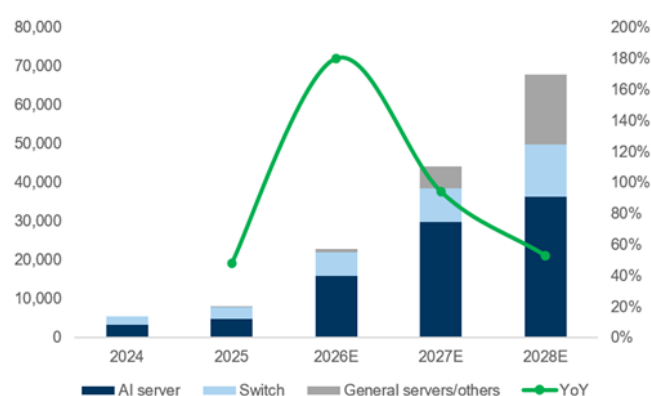
Exhibit 2: We see solid growth of HVLP3+ copper foil demand (133% 2025-28E CAGR), which could account for 38% of the global PCB CF TAM in 2028

PCB copper foil TAM



Source: Company data, Goldman Sachs Global Investment Research

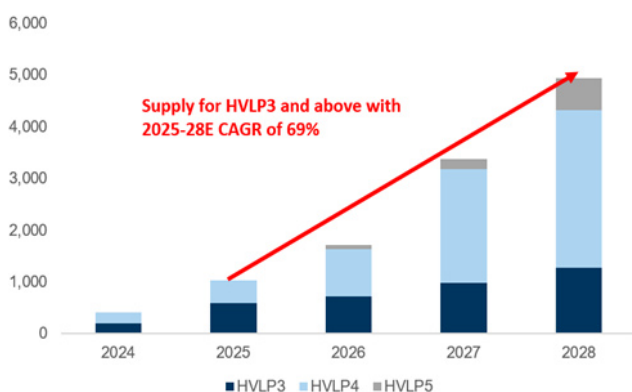
Exhibit 3: High-end CCL shipment will continue to increase, with solid demand from AI server/Switch high-end copper foil demand (tons/year)



Source: Company data, Goldman Sachs Global Investment Research

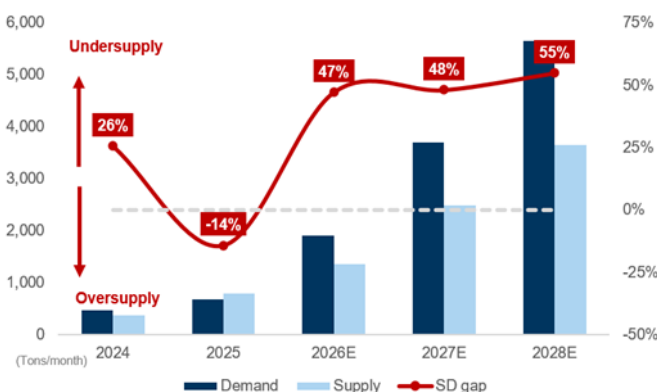
Exhibit 4: We believe the effective supply of HVLP3+ capacity will go up at a 69% 2025-28E CAGR

Tons/month



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Considering the low yield rate of HVLP4+ copper foil, the industry will continue to be undersupplied in the next 2+ years



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Co-Tech earnings comparison table

Co-Tech (8358.TWO)				2Q26		QoQ		YoY		Bloomberg consensus	
P&L (NT\$mn)	Actual	GS est.	Diff (%)	1Q26	QoQ	2Q25	YoY	Consensus	%		
Revenue	2,805	2,700	4%	2,532	11%	2,002	40%	2,791	0%		
Gross profits	768	806	-5%	727	6%	378	103%	823	-7%		
Operating profits	685	720	-5%	649	6%	317	116%	744	-8%		
Pre-tax income	688	720	-4%	649	6%	208	232%	750	-8%		
Net earnings	545	579	-6%	520	5%	167	226%	605	-10%		
EPS, NT\$	2.16	2.30	-6%	2.06	5%	0.66	227%	2.36	-9%		
Gross margin (%)	27.4%	29.8%	-2.5ppt	28.7%	-1.3ppt	18.9%	8.5ppt	29.5%	-2.1ppt		
EBIT margin (%)	24.4%	26.7%	-2.3ppt	25.6%	-1.2ppt	15.9%	8.6ppt	26.6%	-2.2ppt		
Net margin (%)	19.4%	21.5%	-2.0ppt	20.5%	-1.1ppt	8.3%	11.1ppt	21.7%	-2.2ppt		

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We raise our 2026/27E revenue by 6/8% after factoring in stronger than expected

shipments. We revise down our 2026E GM by 2.5ppt to factor in 2Q26 results as well as rising copper cost, and we revise down 2027/28E GM by 2.2/2.4ppt as we continue to see higher contribution from RG copper foil (with GM at 30%+) after factoring in our latest capacity expansion estimates.

Also, we introduce our 2029E earnings estimates with this report.

Exhibit 7: Co-Tech earnings revision table

Co-Tech P&L (NT\$ mn)	2026 New	2026 Old	Diff.	2027 New	2027 Old	Diff.	2028 New	2028 Old	Diff.	2029 New
Sales	11,923	11,196	6%	22,259	20,690	8%	30,771	30,887	0%	41,803
Gross Profit	3,496	3,568	-2%	8,975	8,805	2%	13,871	14,677	-5%	20,177
EBIT	3,147	3,205	-2%	8,332	8,138	2%	12,983	13,673	-5%	19,119
Net Income	2,518	2,571	-2%	6,686	6,530	2%	10,741	11,293	-5%	15,347
EPS (NT\$)	9.98	10.19	-2%	26.51	25.89	2%	42.58	44.77	-5%	60.84
Ratio analysis										
Gross margin	29.3%	31.9%	-2.5ppt	40.3%	42.6%	-2.2ppt	45.1%	47.5%	-2.4ppt	48.3%
EBIT margin	26.4%	28.6%	-2.2ppt	37.4%	39.3%	-1.9ppt	42.2%	44.3%	-2.1ppt	45.7%
Net margin	21.1%	23.0%	-1.8ppt	30.0%	31.6%	-1.5ppt	34.9%	36.6%	-1.7ppt	36.7%

Source: Goldman Sachs Global Investment Research

Valuation

Maintain Buy on Co-Tech, with a new TP of NT\$940 from NT\$900, based on the same 22x 2028E EPS, which is +1SD above the company's upcycle valuation in the past 10-years (whereas our previous TP is based on the same 2028E PE but discounting back to 2027 at a CoE of 11%), and factoring in our earnings revisions.

Exhibit 8: Co-Tech P&L table

NT\$mnn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	2,532	2,805	3,230	3,356	4,160	5,047	5,973	7,079	7,100	7,236	7,788	8,647	7,880	11,923	22,259	30,771	41,803
Gross profit	727	768	907	1,094	1,613	2,002	2,345	3,015	3,212	3,301	3,396	3,962	1,715	3,496	8,975	13,871	20,177
Operating expense	(78)	(83)	(89)	(99)	(119)	(146)	(179)	(198)	(206)	(210)	(218)	(254)	(268)	(349)	(643)	(888)	(1,058)
Operating income	649	685	818	995	1,494	1,855	2,166	2,817	3,006	3,092	3,178	3,708	1,447	3,147	8,332	12,983	19,119
Pretax income	649	688	818	995	1,494	1,855	2,166	2,817	3,106	3,192	3,278	3,808	1,341	3,151	8,332	13,383	19,119
Taxes expense	(129)	(143)	(161)	(199)	(295)	(362)	(425)	(563)	(614)	(623)	(644)	(762)	(278)	(632)	(1,646)	(2,642)	(3,772)
Net income	520	545	657	796	1,199	1,493	1,740	2,253	2,493	2,569	2,634	3,046	1,063	2,518	6,686	10,741	15,347
EPS, NT\$	2.06	2.16	2.61	3.16	4.75	5.92	6.90	8.93	9.88	10.18	10.44	12.08	4.21	9.98	26.51	42.58	60.84
Ratio analysis and assumption																	
As % of sales																	
Gross margin	28.7%	27.4%	28.1%	32.6%	38.8%	39.7%	39.3%	42.6%	45.2%	45.6%	43.6%	45.8%	21.8%	29.3%	40.3%	45.1%	48.3%
Operating expense ratio	3.1%	3.0%	2.8%	3.0%	2.9%	2.9%	3.0%	2.8%	2.9%	2.9%	2.8%	2.9%	3.4%	2.9%	2.9%	2.9%	2.5%
Operating margin	25.6%	24.4%	25.3%	29.7%	35.9%	36.8%	36.3%	39.8%	42.3%	42.7%	40.8%	42.9%	18.4%	26.4%	37.4%	42.2%	45.7%
Net margin	20.5%	19.4%	20.4%	23.7%	28.8%	29.6%	29.1%	31.8%	35.1%	35.5%	33.8%	35.2%	13.5%	21.1%	30.0%	34.9%	36.7%
QoQ growth (%)																	
Revenue	17.0%	10.8%	15.1%	3.9%	24.0%	21.3%	18.3%	18.5%	0.3%	1.9%	7.6%	11.0%	-	-	-	-	-
Gross profit	28.3%	5.7%	18.1%	20.7%	47.4%	24.1%	17.1%	28.6%	6.5%	2.8%	2.9%	16.7%	-	-	-	-	-
Operating income	33.2%	5.5%	19.5%	21.6%	50.1%	24.2%	16.7%	30.1%	6.7%	2.8%	2.8%	16.7%	-	-	-	-	-
Net income	37.7%	4.9%	20.6%	21.1%	50.6%	24.5%	16.5%	29.5%	10.6%	3.0%	2.5%	15.7%	-	-	-	-	-
YoY growth (%)																	
Revenue	46.5%	40.1%	62.6%	55.1%	64.3%	79.9%	84.9%	110.9%	70.7%	43.4%	30.4%	22.2%	15.5%	51.3%	86.7%	38.2%	35.9%
Gross profit	100.4%	103.4%	122.3%	93.1%	121.8%	160.6%	158.6%	175.6%	99.2%	64.9%	44.8%	31.4%	26.7%	103.9%	156.7%	54.6%	45.5%
Operating income	112.3%	115.8%	142.7%	104.3%	130.2%	170.9%	164.7%	183.1%	101.2%	66.6%	46.7%	31.6%	26.6%	117.4%	164.8%	55.8%	47.3%
Net income	96.1%	226.4%	159.6%	111.0%	130.7%	174.0%	164.7%	183.1%	107.9%	72.0%	51.4%	35.2%	15.3%	137.0%	165.5%	60.7%	42.9%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis & PT methodology and risks

Investment Thesis - Co-Tech

Co-Tech is a global leading general server copper foil supplier, with ~60% market share in 2025 per GSe. We expect the company to enjoy solid share gain opportunities in the near term, considering its proactive HVLP capacity expansion plan and strong know-how in the advanced copper foil industry. Also, adoption of HVLP4 copper foil from AI servers and 1.6T networking switches starting in 2H26 should be a key demand

driver for Co-Tech, in our view. Additionally, the company's proactive pricing strategy and ability to improve production yield should drive revenue momentum in the long term.

We are Buy rated as we believe Co-Tech will see better revenue/profitability in the long term given its shift to a more premium product mix along with proactive capacity plans (Plant 3 to be ready by end of 2027) and this should lead to strengthened valuations.

Valuation methodology: Our 12m TP of NT\$940 is based on a 22x 2028E P/E, which is +1SD above the company's average upcycle valuation in the past 10-years.

Key downside risks: (1) earlier than expected CPO adoption in the computing IC, (2) slower than expected yield rate improvement speed, and (3) much stronger than expected capacity growth from HVLP peers, limiting pricing power

Disclosure Appendix

Reg AC

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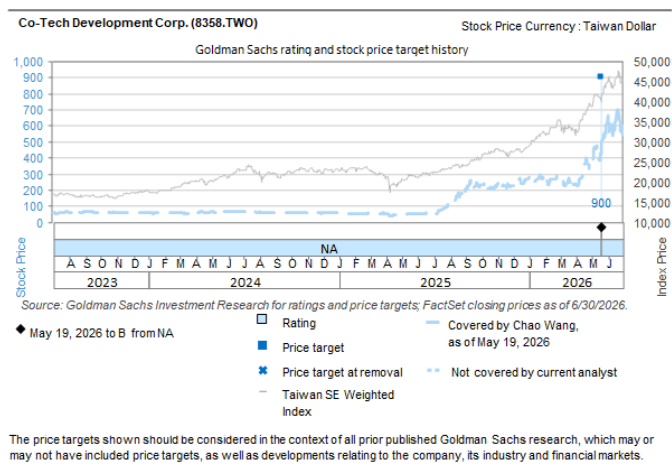
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Price target and rating history chart(s)



Target price history table(s)

Co-Tech Development Corp. (8358.TWO)

Date of report Target price (NT\$) Closing price (NT\$)

19-May-26 900.00 429.00

Price targets shown in table(s) are unadjusted for corporate actions.

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